

Essentials of Personal Finance MGMT 205

Insurance: Life, Disability & Health

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What is insurance?

- ◆ Risk Management Tool
- ◆ Protection for risks of loss you cannot afford
- ◆ Can you afford the loss?
 - ◆ Yes – You don't need insurance, it's a luxury
 - ◆ No – You need insurance



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Life Insurance



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What is life insurance?

- ◆ What risk are you insuring?
- ◆ Who needs it?

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Who Needs Life Insurance?

- ◆ Aside from covering funeral expenses, life insurance is probably **not** necessary if:
 - ◆ You're single and don't have any dependents.
 - ◆ You're married, a double-income couple, with no children.
 - ◆ Consider life insurance only if you're concerned that your surviving spouse's lifestyle will suffer if you die.
 - ◆ You're married but aren't employed.
 - ◆ Consider life insurance only if you have young children and your spouse would have financial problems with day-care and housekeeping if you die.
 - ◆ You're retired.
 - ◆ Consider life insurance only if your spouse couldn't live on your savings, including Social Security and your pension, if you die.

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Who needs life insurance?

- ◆ Consider life insurance if:
 - ◆ You have children
 - ◆ You should have coverage for raising and educating your children until they are financially self-sufficient.
 - ◆ You're married, a single-income couple, with no children.
 - ◆ You should have insurance to allow your surviving spouse to maintain his or her lifestyle until he or she can become self-sufficient.
 - ◆ You own your own business.
 - ◆ A life insurance policy can allow your family to pay off any business debt if you die.
 - ◆ The value of your estate is over the estate tax-free transfer threshold, which was \$13.61 million in 2024 (\$13.99m in 2025).
 - ◆ Life insurance can be an effective tool for passing on an estate without incurring taxes.

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Life Insurance – How much?

- ◆ What \$ needs replaced?
 - ◆ Majority of your annual earnings until retirement
 - ◆ Your annual contributions to your retirement accounts
- ◆ What do you already have?
 - ◆ The more savings you have, the less insurance you need.



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Life Insurance – How much?

- ◆ Multiple Approaches
 1. Calculate based on Specific Needs
 2. Calculate based on Capital to Income Ratio
 3. Rules-of-Thumb



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Life Insurance – How much?

1. Specific Needs
 - ◆ Debt (Mortgage, Business, etc)
 - ◆ Education
 - ◆ Certain number of years of living expenses for survivor



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Life Insurance – How much?

2. Capital-to-Income Ratio (The amount of your retirement savings in relation to your annual income.)

- Have insurance that is equal to 12x your annual income less your targeted CIR at that age (assuming you have savings equal to the targeted CIR).



Age	Savings Goal Multiple of Gross Pre-tax Income
25	.1
30	.6
35	1.4
40	2.4
45	3.7
50	5.2
55	7.1
60	9.4
65	12

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Life Insurance – How much?

3. Many Rules of Thumb

- \$1M per dependent
- 7 to 10 X Annual Income
- Amount of income to replace, then assume 4% withdrawal to achieve that income. (=Annual income needed/.04)
- Always remember that the life insurance sales-people earn their living from commissions. While you can ask the salesperson their recommendation, decide yourself how much you really need.



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Types of Life Insurance

- Term**
 - Fixed annual premium for specific amount of coverage for a specific amount of time
 - If you die – beneficiary receives the insurance proceeds
 - If you live – Insurance co. keeps the premium
- Permanent**
 - Provides both life insurance AND tax-advantaged savings
 - At maturity
 - Policy is paid off, life insurance remains in effect
 - Two types we will discuss (Whole Life & Universal Life)
 - There is also Variable Universal Life.

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Type of Policy	Coverage Period	Annual Premium	Death Benefit	Cash Value
Term Life Insurance	Provides protection for a specified time period, typically 1 to 30 years.	Least expensive form of life insurance. Low initial premium, with the premium increasing as the insured gets older.	Fixed death benefit.	No cash value.
Whole Life Insurance	Provides permanent protection.	The premium is fixed.	Fixed death benefit.	The cash value is fixed. The investment portion of the policy grows on a tax-deferred basis while the policy is in force.
Universal Life Insurance	Provides permanent protection.	Allows for flexible premium payments so that policyholders can vary the amount and timing of their payments as their financial needs change.	Death benefits are flexible, although proof of insurability may be required if you want to raise them.	The cash value of the policy depends on the level of payments made and the investment results of the insurance company. The investment portion of the policy grows on a tax-deferred basis while the policy is in force.
Variable Life Insurance	Provides permanent protection.	Allows for either fixed or flexible premium.	Death benefits are flexible, reflecting the performance of the mutual funds (subaccounts) in the death benefits account.	The cash value of the policy depends on the performance of the mutual funds (subaccounts) in the cash value account. The policyholder controls the investment risk, choosing the investment strategy for the policy.

Source: Keown, A. 2010. Personal Finance: Turning Money into Wealth. 5th ed.

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Term Life Insurance

- Pros
 - Cheapest form of life insurance
 - Easy to understand and purchase
 - Competitive market
 - Can fix premium anywhere between 1 and 20 years
 - Can request conversion feature to allow conversion to permanent insurance.
- Cons
 - Annual Premiums rise with age
 - No guarantee the policy will be renewed beyond expiration date.
 - Must qualify medically at each renewal date.



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Whole Life Insurance

- Fixed level premium that won't increase
- Potential to accumulate cash value over time
- Fixed death benefit for life of the policy
- Minimum guaranteed return
 - Growth is tax-deferred
- May take withdrawals and loans against the policy

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Whole Life Insurance

- ◆ Pros
 - ◆ Premium fixed for entire term of contract
 - ◆ Forced savings program (good for those who are "less disciplined")
 - ◆ Can borrow against or withdrawal the CSV
 - ◆ When paid off, term insurance remains with zero annual premium
 - ◆ Flexible – can change death benefit and premium payment options
- ◆ Cons
 - ◆ Annual premiums are much higher than term insurance
 - ◆ Annual expenses are higher than term insurance
 - ◆ Single investment option that has relatively high expenses



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Universal Life Insurance

- ◆ Variety of investment options.
- ◆ Universal life can provide you with a variety of different payment options, including a level premium that won't increase, flexibility of changing your death benefits, as well as the potential to accumulate cash value over time.
 - ◆ Here's how: Since there is a cash component, you may be able to skip premium payments as long as the cash value is enough to cover your premiums for that month.
- ◆ You can increase or decrease the death benefit to match your particular circumstances.
- ◆ You can borrow against the cash value that may have accumulate in the policy.
- ◆ No Guaranteed Return

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Universal Life Insurance

- ◆ PROS
 - ◆ Premium fixed for the entire term of the contract.
 - ◆ Forced savings program may be appealing to "less disciplined" consumers.
 - ◆ Tax deferral on gains/income earned on Cash Surrender Value of policy.
 - ◆ Can borrow against or withdraw the Cash Surrender Value.
 - ◆ When paid off, term insurance remains with zero annual premium.
 - ◆ Flexibility to change death benefit and premium payment options.
- ◆ CONS
 - ◆ Annual premiums are much higher than those on Term Insurance.
 - ◆ Annual expenses are higher than those on Term Insurance.
 - ◆ Investment options are limited and have relatively high annual expenses.

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Recommendations

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My Recommendations

- ◆ Treat Insurance as what it is – risk management
 - ◆ Separate savings from insurance
 - ◆ High expense rate
 - ◆ Low returns
 - ◆ Purchase Term and then Invest the premium difference between term and permanent policy
 - ◆ This way you get same benefit and you keep costs/profits that insurance company would have gotten.
 - ◆ Ex. \$500,000 policy
 - ◆ Age 25, Healthy Height/Weight
 - ◆ Term - \$150 - \$200 per year
 - ◆ Universal Life - \$1,500 - \$1,800 per year

Recommendations



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Where to buy life insurance?

- ◆ Employer – Group Term Life
 - ◆ Not an option if you leave the employer.
- ◆ Professional Organization
 - ◆ Ex. AICPA, Pilot's association, etc.
- ◆ Independent Insurance Company
 - ◆ Pick well-rated company that will be around if you/your family need to collect
 - ◆ Shop around for best price from high rated company

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Disability Insurance

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Disability Insurance

- ◆ Insurance that pays you a specified monthly amount if you become disabled and cannot work
 - ◆ Short term vs Long term
 - ◆ Replaces portion of lost wages
 - ◆ Enables you to live and save until you return to work
- ◆ The odds of becoming disabled are high (1 in 8).
- ◆ Social Security Disability?
 - ◆ Difficult to Qualify
 - ◆ Time-consuming and expensive application process
 - ◆ Average benefit in 2022 is \$1,358.30, max is \$3,345*.
 - ◆ * this is also the max social security benefit

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Disability Insurance

- ◆ Employer Plans
 - ◆ 50/60/66% of pre-tax income subject to some max
 - ◆ Lost if leave employer
 - ◆ Employer may pay all or some
 - ◆ Benefits taxable
 - ◆ Usually a max time period
 - ◆ No physical Exam

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Disability Insurance

- ◆ Private
 - ◆ You pick income replacement %
 - ◆ You pick maximum period
 - ◆ Cost (about 1.5 to 3% of gross income) – it depends on many factors
 - ◆ Benefits not taxable (premium payments not deductible)
 - ◆ More expensive than employer plans
 - ◆ Physical health exam required
 - ◆ Doesn't rely on current employer

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Questions

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Health Insurance

Important Differences – Indemnity plan vs HDHP wHSA

	HDHPs	Traditional PPOs
Monthly Premiums	Lower	Higher
Deductible	Higher	Lower
Deductible	Individual/Family /Aggregate	Individual / Family
Out-of-Pocket Max	Higher	Lower
Pair With (if desired)	HSA (Health Savings Account)	FSA (flexible spending account)

Employer may contribute to or match contributions

Yours if you don't use it. Rolls over for future use.

Use it or Lose is

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Health Insurance Example

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Health Insurance Questions

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